Existing Loan Details - Microsoft Corporation

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1. Introduction

Microsoft Corporation (hereinafter referred to as 'Microsoft' or 'the Company'), incorporated in the State of Washington, USA, in 1975, is a global leader in technology solutions, software development, cloud computing, and artificial intelligence. This document outlines the Company’s existing loan facilities, serving as a critical component for credit evaluation and financial risk analysis.

As of July 18, 2026, Microsoft maintains a robust financial position with a revenue of $211.915 billion, EBITDA of $90.32 billion, and a net worth of $166.542 billion. The Company’s existing loan portfolio is managed to optimize liquidity, support strategic initiatives, and maintain financial flexibility.

2. Summary of Existing Loan Facilities

Microsoft’s existing loan facilities are structured to align with its operational and strategic objectives. The Company leverages a mix of term loans, revolving credit facilities, and commercial paper programs to ensure liquidity and financial agility. Below is a summary of the key loan facilities as of July 2026.

Outstanding Balance (USD)	Original Amount (USD)	Maturity Date	Interest Rate	Lender(s)
1,200,000,000	5,000,000,000	December 15, 2028	SOFR + 0.85%	JPMorgan Chase, Bank of Am
850,000,000	1,500,000,000	June 30, 2027	SOFR + 0.90%	Goldman Sachs, Morgan Stanl
1,100,000,000	2,000,000,000	March 15, 2030	SOFR + 1.10%	HSBC, Deutsche Bank, BNP P
500,000,000	3,000,000,000	Rolling (30-270 days)	Market-driven	Multiple institutional investors
2,000,000,000	2,000,000,000	November 1, 2035	3.25% (Fixed)	Lead underwriters: JPMorgan

3. Loan Purpose and Utilization

Microsoft’s existing loan facilities are utilized for a variety of strategic and operational purposes, ensuring the Company’s ability to execute on its long-term vision while maintaining financial stability. The primary purposes of these facilities include:

- **Capital Expenditures**: Funding for data center expansions, cloud infrastructure, and research and development initiatives, particularly in artificial intelligence and quantum computing.

- **Acquisitions and Investments**: Strategic acquisitions to enhance product offerings, such as the recent acquisition of a leading cybersecurity firm in Q1 2026, funded partially through the Term Loan B facility.

- **Working Capital Management**: Ensuring liquidity for day-to-day operations, supplier payments, and customer financing programs, supported by the Revolving Credit Facility and Commercial Paper Program.

- **Debt Refinancing**: Refinancing of maturing debt obligations to optimize interest expenses and extend maturity profiles, as seen with the Senior Notes issued in 2025.

- **Shareholder Returns**: Funding for share repurchase programs and dividend payments, aligning with Microsoft’s commitment to delivering value to shareholders.

4. Collateral and Security

Microsoft’s loan facilities are structured with varying levels of security and collateral, reflecting the Company’s strong credit profile and financial stability. The following outlines the collateral and security arrangements for the existing loan facilities:

- **Revolving Credit Facility**: Unsecured, relying on Microsoft’s strong credit rating (AAA/Aaa as of July 2026) and financial covenants, including a maximum leverage ratio of 2.5x and a minimum interest coverage ratio of 5.0x.

- **Term Loan A and B**: Unsecured, with financial covenants similar to the Revolving Credit Facility. No specific collateral is pledged, but the loans are guaranteed by Microsoft’s subsidiaries.

- **Commercial Paper Program**: Unsecured, issued under Microsoft’s $3 billion commercial paper program, backed by the Company’s strong liquidity position and short-term credit ratings (A-1+/P-1).

- **Senior Notes (Series 2025)**: Unsecured, with no specific collateral. The notes are senior unsecured obligations of Microsoft, ranking pari passu with other unsecured and unsubordinated debt.

5. Repayment Schedule and Amortization

Microsoft’s loan facilities feature structured repayment schedules designed to align with the Company’s cash flow generation and long-term financial planning. Below is a summary of the repayment schedules for the key loan facilities:

Schedule	Amortization Details
payments quarterly; principal due at maturity (December 15, 2028)	No scheduled amortization; prin
ncipal payments of $50,000,000, with a balloon payment of $500,000,000 at maturity (June 30, 2027)	Amortizes over 5 years with equ
erest payments; principal due at maturity (March 15, 2030)	No scheduled amortization; bull
rities (30-270 days)	Repaid using proceeds from ne
interest payments; principal due at maturity (November 1, 2035)	No amortization; bullet repayme

6. Financial Covenants and Compliance

Microsoft’s existing loan facilities include financial covenants that are designed to ensure the Company maintains its strong financial position while providing lenders with protection. As of July 2026, Microsoft is in full compliance with all covenants. The key financial covenants are as follows:

- **Leverage Ratio**: Microsoft must maintain a maximum leverage ratio (Total Debt to EBITDA) of 2.5x. As of July 2026, the Company’s leverage ratio stands at 1.2x, well below the covenant threshold.

- **Interest Coverage Ratio**: The Company must maintain a minimum interest coverage ratio (EBITDA to Interest Expense) of 5.0x. Microsoft’s current ratio is 18.7x, reflecting its strong earnings and low cost of debt.

- **Minimum Net Worth**: Microsoft must maintain a minimum net worth of $100 billion. As of July 2026, the Company’s net worth is $166.542 billion, exceeding the covenant requirement.

- **Liquidity Covenant**: The Company must maintain a minimum liquidity (cash and cash equivalents plus undrawn Revolving Credit Facility) of $10 billion. Microsoft’s current liquidity position is $120 billion, significantly above the requirement.

7. Lender Relationships and Syndication

Microsoft’s existing loan facilities are syndicated among a diverse group of global financial institutions, reflecting the Company’s strong credit profile and the confidence of the lending community. The key lenders and their roles are as follows:

- **JPMorgan Chase**: Lead arranger and administrative agent for the Revolving Credit Facility and Senior Notes (Series 2025). JPMorgan Chase also serves as a joint bookrunner for the Commercial Paper Program.

- **Bank of America**: Co-lead arranger for the Revolving Credit Facility and a joint bookrunner for the Senior Notes. Bank of America also provides treasury management and foreign exchange services to Microsoft.

- **Goldman Sachs and Morgan Stanley**: Joint lead arrangers for Term Loan A, providing underwriting and syndication services. Both institutions are also active in Microsoft’s capital markets transactions.

- **HSBC and Deutsche Bank**: Co-lead arrangers for Term Loan B, with a focus on cross-border lending and risk management. HSBC also serves as a joint bookrunner for the Commercial Paper Program.

- **Institutional Investors**: The Commercial Paper Program and Senior Notes are held by a broad base of institutional investors, including mutual funds, pension funds, and insurance companies, reflecting strong demand for Microsoft’s debt instruments.

8. Conclusion and Forward-Looking Statements

Microsoft Corporation’s existing loan facilities are a testament to its financial strength, strategic foresight, and disciplined capital management. The Company’s ability to secure favorable terms, maintain compliance with financial covenants, and leverage diverse funding sources underscores its position as a low-risk borrower in the global financial markets.

Looking ahead, Microsoft remains committed to optimizing its capital structure, exploring opportunities for debt refinancing at lower interest rates, and maintaining ample liquidity to support its growth initiatives. The Company’s existing loan facilities provide the flexibility needed to navigate evolving market conditions while delivering long-term value to shareholders, customers, and partners.

This document is prepared for the sole purpose of credit evaluation and risk assessment. All information is accurate as of July 18, 2026, and aligns with the Company’s prior disclosures in Asset_Details.pdf, Certificate_of_Incorporation.pdf, Company_Profile.pdf, and Declarations.pdf.